THG Hotel | Management Interview Q&A

I. Understanding the Business and Operating Context

MBA Student — Question: Could you describe the main pressures affecting hotel operations at the moment?

Hotel Management — Response: Hotel operations have several competing priorities. Labor, supplies, and utilities are important cost categories, while guest expectations remain high. If costs increase faster than room revenue, management has less flexibility to protect margins. We would want to understand whether the pressure is concentrated in particular properties, seasons, or operating departments.

MBA Student — Question: When you say booking growth is limited, what would you look at to understand the underlying problem?

Hotel Management — Response: We would separate market conditions from property-level issues. Occupancy, booking pace, cancellations, length of stay, business versus leisure demand, and distribution channels would all be relevant. A slow increase in reservations does not necessarily mean that every guest segment or property faces the same problem.

MBA Student — Question: How does the hotel's positioning influence room pricing?

Hotel Management — Response: A hotel's positioning shapes what guests consider reasonable value. Rate increases can be difficult when guests have established expectations or comparable alternatives. Management would need to assess the competitive set, service quality, and guest willingness to pay before assuming that higher published rates would improve profitability.

MBA Student — Question: What matters most when balancing growth against the guest experience?

Hotel Management — Response: Guest satisfaction and reliable service remain central. Additional revenue is useful only if the service can be delivered consistently and its contribution exceeds the associated cost. We would be cautious about changes that raise short-term spending but undermine repeat business or brand expectations.

II. Understanding Customers, Revenue, and Costs

MBA Student — Question: Which types of guests are most relevant to your business, and how do their needs differ?

Hotel Management — Response: Business travelers, leisure guests, families, and groups can have different priorities. Convenience and predictability may matter to a business traveler; activities and flexibility may matter more to a family. We would examine actual booking and spending patterns before treating these categories as fixed or equally valuable segments.

MBA Student — Question: What customer information would help you understand repeat visits and spending?

Hotel Management — Response: Useful information would include booking history, length of stay, channel, room type, optional purchases, and guest feedback. The first question is what information is

actually available and usable. Without reliable customer identifiers, it would be difficult to distinguish genuine retention from repeat transactions recorded under different profiles.

MBA Student — Question: Where do you see the greatest uncertainty in operating costs?

Hotel Management — Response: Payroll, utilities, supplies, and purchased services deserve separate examination. We would want to know which expenses vary with occupied rooms and which are relatively fixed. A service that appears profitable on gross revenue might contribute little after staffing, commissions, and delivery costs.

MBA Student — Question: How do you currently think about optional services such as upgrades or dining?

Hotel Management — Response: Optional services can add value when they match guest needs and do not interfere with the core stay. The practical questions are availability, service quality, and incremental contribution. We would need service-level costs and capacity information before deciding whether to emphasize any particular offering.

III. Understanding Capabilities and External Relationships

MBA Student — Question: What kinds of operational changes are hardest for a hotel team to execute?

Hotel Management — Response: Changes that span the front desk, housekeeping, revenue management, sales, and technology are usually more demanding than a single-department adjustment. Clear ownership, training, system compatibility, and performance measures would matter. We would assess those conditions before committing to a broader rollout.

MBA Student — Question: How could relationships with nearby businesses affect the guest experience?

Hotel Management — Response: Local restaurants, attractions, and service providers may help a hotel offer experiences it does not operate itself. At the same time, the hotel would depend on partners to deliver reliably. Any arrangement would need clear responsibilities, guest-service standards, and a commercially workable sharing of revenue or costs.

MBA Student — Question: What would management need to know before considering additional event or corporate business?

Hotel Management — Response: The first questions would concern meeting space, staffing, sales relationships, equipment, and demand. Event business may require different coordination from transient room bookings. Without property-specific capacity and cost information, it would be premature to assume that expanding event services is attractive.

MBA Student — Question: What are the key concerns around digital check-in or mobile access?

Hotel Management — Response: Compatibility with existing property systems, guest adoption, privacy, technical support, and exception handling would be important. Technology would need to solve a measurable operational problem. We would want evidence of time saved or service improvement rather than relying on the appeal of the technology itself.

IV. MBA Student Follow-up and Problem Clarification

MBA Student — Question: From our discussion, we understand that raising the room rate broadly may be difficult while costs remain under pressure. Is it fair for our team to examine ways to increase contribution per guest instead?

Hotel Management — Response: That would be a reasonable question to investigate, provided the analysis distinguishes incremental spending from spending that would have occurred anyway. We would also want any proposed offer to preserve service quality and fit the hotel's positioning.

MBA Student — Question: We are considering a closer analysis of guest segments. What evidence would make that analysis useful to management?

Hotel Management — Response: The analysis would be more useful if it showed meaningful differences in demand, purchasing behavior, and contribution across segments. It should also indicate what information is missing and what could realistically be measured through a limited test.

MBA Student — Question: Our team is also examining whether premium upgrades and other optional services might offer a more manageable starting point than a major capital project. What would concern you about that idea?

Hotel Management — Response: Capacity and delivery would be the first concerns. We would want to know whether premium rooms or staff time are available, whether the service adds costs, and whether the offer changes guest satisfaction. A small trial would be easier to evaluate than an immediate property-wide change.

MBA Student — Question: We noticed that some ideas could depend on restaurants or tour operators outside the hotel. What would make a partnership worth exploring?

Hotel Management — Response: The partner would need to serve the hotel's guests reliably, and the arrangement would need a clear financial rationale. We would want visibility into commissions, refunds, fulfillment, and complaints. A partnership should improve the overall guest proposition rather than simply create another discount.

V. Student-Proposed Directions and Management Evaluation

MBA Student — Question: Based on the issues you described, our team is exploring personalized packages and a loyalty concept rather than relying solely on higher room prices. What would you want us to test first?

Hotel Management — Response: We would want evidence that guests value the proposed packages and that any loyalty benefit generates incremental return visits or contribution after rewards and administration costs. It would be important to distinguish new behavior from purchases guests would already make.

MBA Student — Question: Another direction our team is exploring is a limited upselling pilot for premium services. What would determine whether it merits a larger rollout?

Hotel Management — Response: A pilot would need to show incremental contribution, manageable staff workload, consistent delivery, and no material deterioration in guest satisfaction. We would also look at how performance varies by property and guest segment before considering expansion.

MBA Student — Question: Our team is evaluating local bundles alongside restaurant coupons. Would you prefer that we analyze them together to avoid overlapping benefits?

Hotel Management — Response: Yes, if both concepts address similar guest purchases, the evaluation should consider them together. We would want distinct offer identifiers and an estimate of total incremental guest spending, not separate gross-redemption figures that might count the same opportunity twice.

MBA Student — Question: Finally, we may compare these smaller initiatives with digital check-in, themed rooms, and corporate events. How should we present the trade-offs to management?

Hotel Management — Response: We would want a comparison that includes likely benefit, initial investment, operating costs, execution requirements, and uncertainty. It would be helpful to distinguish ideas ready for a small test from those requiring technical, capacity, or market validation. A positive financial estimate alone would not justify approval.